

practices that safeguard customers and uphold trust. Stricter due diligence for risk rating systems and Expected Credit Loss (ECL) modelling necessitate advanced analytical tools and skills. Institutions need to evaluate financial health, market conditions and historical performance

Shifting perception about compliance: Boards and senior leadership must champion compliance as a strategic priority rather

Enabling accountability through self-regulation: The RBI has proposed to recognise a self-regulatory organisation to develop industry standards and codes within its regulatory framework. This will foster collaboration between regulators and industry participants, signaling a move towards a more granular approach to compliance assessments. Business teams may bear greater responsibility for the implementation of regulatory

Mitigating risks of greenwashing: The regulatory stringency for green claims made by organisations is expected to rapidly develop, aiming to foster responsible environmental stewardship by REs. The RBI has proposed measures to address greenwashing concerns in green deposits. These include the use of third-party verification and impact assessments to prove the veracity of eco-friendly claims. While the RBI has not specified

Financial institutions must embed compliance within their business models to mitigate financial repercussions and reputational risks that can erode customer trust

er than a mere checkbox activity. Transparent communication, ongoing training, and regular evaluations are essential

FUTURE OF COMPLIANCE

As the regulatory landscape evolves, financial institutions must anticipate further changes in compliance mandates and prepare for a future where automation, digital transformation and strategic foresight will drive compliance. Key focus areas for regulators are expected to include the following:

Expanding regulatory

automation: Building on current directives, regulators may require additional compliance functions—such as regulatory returns, risk-based assessments, compliance monitoring and testing and compliance incident management—are automated. The storage of historical data in automated systems paves the way for AI applications that can help predict and manage future compliance risks

changes and also contribute to enhance the monitoring processes

Elevating governance standards: Stronger governance structures, including reporting lines and a “tone at the top” approach, will remain pivotal. Boards and senior leadership will be expected to play an active role in championing compliance and setting long-term strategies for regulatory alignment

Managing data-driven compliance: Focus on developing a centralised repository using data lakes, straight-through processing mechanism for management information systems, and regular regulatory reporting are expected to increase to improve accuracy and timeliness

Necessitating investment in advanced analytics: In-line with directive for automated compliance infrastructure, REs may be required to implement advance data analytics, model risk management frameworks and machine learning algorithms to further enhance the ECL modelling or credit rating systems.

penalties, it aims to increase transparency and consumer trust in green financial products

A RESILIENT PATH

In an industry facing continuous regulatory evolution, the financial sector must not view compliance as a hurdle, but as an opportunity to foster resilience. By leveraging advanced technologies and adopting proven frameworks, financial institutions can cultivate a proactive, information-driven compliance environment. This approach mitigates risks and aligns with the regulatory overarching goals of financial stability, customer protection and governance excellence. **BT**

Views are personal. Suveer Khanna, Partner & Head, Forensic Services; Amitava Mukherjee, Partner, Financial Risk Management; Kunal Pande, Partner and Co-head, Digital Risk and Cyber Management; and, Vishnu Pillai, Partner and Lead, FS Technology Enablement, also contributed to the article.